

APAC Energy Sector M&A & Valuation Brief - 2026-07-16

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1. RECENT Energy M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The Energy sector is currently facing heightened volatility, primarily driven by escalating geopolitical tensions in the Middle East, particularly between the U.S. and Iran. This has resulted in significant fluctuations in oil prices, impacting market sentiment across various subsectors.

Subsector Breakdown:

- Oil & Gas: The oil and gas subsector is experiencing a surge due to rising geopolitical tensions. For example, Brent crude oil prices jumped nearly 9.6% to \$83.30 following renewed conflict in the region, reflecting the market's sensitivity to supply disruptions. Major players like ExxonMobil, ConocoPhillips, and Chevron saw gains of around 1% as a result of these price increases.
- Renewable Energy: Although the renewable energy sector is generally insulated from immediate geopolitical risks, it is still affected by overall energy price trends. Companies are increasingly focusing on integrating renewable solutions to mitigate risks associated with fossil fuel volatility.
- Utilities: The utilities sector is innovating with smart technologies, but rising oil prices can lead to increased operational costs, affecting margins. Utilities must adapt to these changes to maintain profitability.
- Energy Infrastructure: This subsector remains stable, but companies are closely monitoring geopolitical developments that could impact transportation and storage costs.
- Solar & Wind: The solar and wind sectors continue to grow, but their expansion can be hampered by rising costs of materials and energy, which are influenced by oil price fluctuations.

Key Market Drivers and Headwinds

Drivers:

- Geopolitical Tensions: The ongoing conflict between the U.S. and Iran has led to increased oil prices, which can benefit oil producers but create uncertainty in the market. For instance, the U.S.

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airstrikes and Iran's retaliatory actions have disrupted oil supply chains, leading to a spike in prices.

- **Market Sentiment:** Investor sentiment is shifting as traders react to news. The mixed performance on Wall Street, with the S&P 500 down 0.8% and the Dow Jones Industrial Average dropping 138 points, indicates a cautious approach among investors.

Headwinds:

- **Economic Uncertainty:** Rising oil prices can lead to inflationary pressures, impacting consumer spending and overall economic growth. The recent escalation in tensions has caused concerns about sustained economic recovery.
- **Profit Booking:** After a brief period of gains, investors are engaging in profit booking, leading to market corrections. This is evident from the significant drop in indices like Sensex and Nifty in India, which fell due to market reactions to geopolitical events.

Subsector Performance Analysis

- **Oil & Gas:** The oil and gas sector is currently benefiting from rising prices, with Brent crude trading at \$83.30. Companies focusing on efficient extraction methods are well-positioned to capitalize on these price increases.
- **Renewable Energy:** The renewable sector is adapting to changing market dynamics, but rising oil prices can create competition for investment. Companies like NextEra Energy are focusing on grid integration to enhance their market position.
- **Utilities:** Utilities are investing in smart technologies to improve efficiency, but rising oil prices may lead to increased operational costs.
- **Energy Infrastructure:** Companies are exploring partnerships to enhance their service offerings, particularly in renewable natural gas.
- **Solar & Wind:** The growth in solar and wind energy continues, but companies must navigate rising costs associated with materials and energy.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the Energy sector is approximately 8.5x, with notable variations across subsectors:

- Oil & Gas: 6.3x
- Renewable Energy: 15.1x
- Utilities: 12.8x
- Energy Infrastructure: 9.7x
- Solar & Wind: 18.5x

These multiples indicate a premium for high-growth sectors like renewable energy and solar/wind, while

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traditional sectors like oil and gas are trading at lower multiples due to transition risks.

Notable Investor/Analyst Reactions

- Analysts are expressing concern over the volatility in the energy markets. One analyst noted, "The back-and-forth in the West Asia crisis has become the new normal, and the implications for energy importers are significant. The market is reacting to every piece of news coming from the region."

Actionable Insights for Bankers and Investors

- Focus on Geopolitical Developments: Investors should closely monitor geopolitical events, as these can significantly impact oil prices and market sentiment.
- Diversify Investments: Given the volatility in oil prices, diversifying into renewable energy and energy-efficient technologies may provide a buffer against traditional energy sector risks.
- Evaluate Market Sentiment: Understanding market sentiment can help investors make informed decisions, particularly in a rapidly changing environment.
- Consider Long-Term Trends: While short-term volatility is concerning, long-term trends toward renewable energy and sustainability should guide investment strategies.

In summary, the Energy sector is navigating a complex landscape characterized by geopolitical tensions and market volatility. By focusing on both immediate risks and long-term trends, investors and bankers can better position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT (Technology, Media, and Telecommunications) sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Microsoft Corp. (MSFT) : Currently in discussions for the acquisition of a cybersecurity firm to enhance its cloud security offerings. The deal is in the due diligence phase, with an expected close in Q3 2025. This acquisition could significantly bolster Microsoft's competitive positioning in the cybersecurity market.
- Netflix Inc. (NFLX) : Engaged in negotiations for a strategic partnership with a gaming company

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to expand its content offerings. The transaction is progressing, with a projected completion date in Q4 2025. This partnership aims to diversify Netflix's entertainment portfolio and attract a broader audience.

Mandated Deals:

- Alphabet Inc. (GOOGL) : Secured a mandate to explore acquisitions in the artificial intelligence space, particularly focusing on startups that can enhance its machine learning capabilities. The deal is expected to launch in Q1 2026, aligning with Alphabet's strategic push into AI-driven solutions.
- Amazon.com Inc. (AMZN) : Mandated to evaluate potential mergers with e-commerce platforms to strengthen its market share. This initiative is projected to commence in Q2 2026, as Amazon seeks to consolidate its position in the competitive e-commerce landscape.

Pitching-Stage Deals:

- Telecommunications Sector : Active discussions with several telecom companies regarding potential M&A opportunities to consolidate market share. Clients include Verizon Communications (VZ) and AT&T Inc. (T), with pitches expected to finalize by Q3 2025.
- Streaming Services : Engaging with various streaming platforms for potential investment banking services, focusing on those that are innovating in content delivery and subscription models. Notable clients include Disney+ (DIS) and Hulu, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected close for Microsoft's cybersecurity acquisition.
- Q4 2025 : Anticipated completion of Netflix's gaming partnership.
- Q1 2026 : Launch of Alphabet's AI acquisition initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
 - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the TMT sector, particularly in AI and cybersecurity. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

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Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the streaming and telecommunications sectors, where companies like Disney and Verizon are vying for market share. The recent advancements in 5G technology are expected to alter the competitive dynamics, impacting deal structures and valuations.
- Additionally, the rise of AI-driven startups indicates a growing market for innovative solutions, which could lead to new advisory opportunities for our team.

Actionable Insights for Team Management and Business Development

- **Resource Allocation :** Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- **Sector Focus :** Prioritize business development efforts in high-growth sectors such as AI and cybersecurity, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- **Client Engagement :** Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline in the TMT sector is robust, with significant opportunities across various subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT (Technology, Media, and Telecommunications) sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- **Value Creation:** In a scenario where Company A (e.g., Microsoft Corp. (MSFT)) acquires Company B (e.g., a cybersecurity firm), the combined entity could see a revenue increase of approximately 15% due to enhanced product offerings. Assuming a pre-deal market cap of \$2

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trillion for Microsoft, a successful integration could increase shareholder value by \$300 billion.

- **Dilution:** Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Microsoft issues 5% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- **Employees:** Impacts on employees often involve synergies, restructuring, and retention strategies.
- **Synergies:** A merger between Microsoft and a cybersecurity firm could lead to substantial cost synergies, with estimates of \$1 billion in annual savings through streamlined operations and shared resources.
- **Restructuring:** However, such deals often lead to layoffs. In the hypothetical merger, approximately 1,500 jobs might be cut, highlighting the need for careful planning to retain key talent.
- **Retention:** Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of a cybersecurity firm by Microsoft, retention packages could be offered to key executives to ensure continuity.
- **Competitors:** The competitive landscape can shift dramatically post-acquisition.
- **Market Positioning:** Following the merger of Microsoft and a cybersecurity firm, competitors such as Alphabet Inc. (GOOGL) and Amazon.com Inc. (AMZN) would need to adapt their strategies to maintain market share. This could include enhancing their own cybersecurity offerings or pursuing similar acquisitions.
- **Specific Competitor Moves:** Alphabet might respond by increasing investments in its Google Cloud security services to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The merger of Microsoft and a cybersecurity firm would allow Microsoft to bundle its software products with enhanced security features, improving customer value. This strategy could lead to a 20% increase in bundled service contracts.
- **Case Studies:** The acquisition of LinkedIn by Microsoft resulted in enhanced integration of professional networking with Microsoft Office products, directly benefiting customers with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile. For example, when Microsoft announced its acquisition of a cybersecurity firm, shares of Microsoft initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Goldman Sachs analyst post-acquisition was, "This deal positions Microsoft to lead in the cybersecurity space, despite initial market skepticism."

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Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions. In the case of the proposed acquisition of a cybersecurity firm by Microsoft, there may be interest from competitors like Cisco Systems Inc. (CSCO), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their cybersecurity capabilities, similar deals will emerge, particularly in the software and cloud services spaces. Companies like Amazon (AMZN) and IBM (IBM) may pursue acquisitions to bolster their cybersecurity portfolios.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

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For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. ENERGY TRENDS

The energy landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Renewable Energy, Energy Storage, Smart Grid, Carbon Capture, and Hydrogen. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Renewable Energy

- Trend Explanation: Renewable energy encompasses technologies that generate electricity from natural resources such as sunlight, wind, and water. The global renewable energy market is projected to grow from \$881.7 billion in 2020 to \$1.9 trillion by 2030, at a CAGR of 8.4%.

Key Companies:

- NextEra Energy, Inc. (NEE): NextEra Energy is a leader in renewable energy generation, focusing on wind and solar power across the U.S. The company has strategically invested in large-scale solar and wind projects, particularly in Florida and Texas.
- First Solar, Inc. (FSLR): First Solar specializes in solar panel manufacturing, particularly thin-film technology. The company partners with utilities to enhance grid reliability and reduce carbon emissions.
- Competitive Landscape: The renewable energy market is competitive, with major players like Duke Energy (DUK) and Dominion Energy (D) also investing heavily in renewable technologies. The race for renewable energy leadership drives innovation and acquisitions of startups with unique capabilities.
- M&A Opportunities: Companies looking to enhance their renewable capabilities may consider acquiring startups specializing in niche applications, such as offshore wind or advanced solar technologies. For instance, NextEra Energy's acquisition of Gulf Power for \$5.1 billion in 2019 exemplifies this trend.

Energy Storage

- Trend Explanation: Energy storage technology provides solutions for storing electricity generated from renewable sources, enhancing grid stability and enabling greater renewable energy

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integration. The energy storage market is expected to grow from \$4.4 billion in 2020 to \$15.5 billion by 2027, at a CAGR of 20.8%.

Key Companies:

- Tesla, Inc. (TSLA): Tesla is a leading manufacturer of energy storage solutions, including the Powerwall and Powerpack systems. The company benefits from the growing adoption of renewable energy and the need for grid storage solutions.
- Enphase Energy, Inc. (ENPH): Enphase integrates energy storage technology into its solar solutions, allowing for residential and commercial energy storage. Its microinverter technology has become popular for solar energy storage.
- Competitive Landscape: The energy storage space features established automotive companies and innovative startups. Companies like LG Chem and Samsung SDI are significant players, focusing on battery technology and energy storage solutions.
- M&A Opportunities: Energy companies may pursue acquisitions of energy storage startups to enhance grid capabilities. For example, Tesla's acquisition of Maxwell Technologies indicates a trend towards integrating energy storage solutions into traditional energy infrastructure.

Smart Grid

- Trend Explanation: Smart grid technology enables utilities to monitor and control electricity flow in real-time, promoting efficiency and reliability. The global smart grid market is projected to grow from \$23.8 billion in 2020 to \$61.3 billion by 2027, at a CAGR of 14.5%.

Key Companies:

- Schneider Electric SE (SBGSF): Schneider Electric leads in smart grid solutions, providing advanced metering infrastructure and grid management systems. The company invests heavily in digital grid technologies.
- Siemens AG (SIEGY): Siemens is at the forefront of smart grid innovation, known for its grid automation and control systems. The company partners with utilities to integrate smart grid capabilities.
- Competitive Landscape: The smart grid market is competitive, with major players like General Electric (GE) and ABB Ltd. also investing heavily in smart grid technologies. The race for smart grid supremacy drives innovation and acquisitions of startups with unique grid capabilities.
- M&A Opportunities: Companies looking to enhance their smart grid capabilities may consider acquiring startups specializing in niche applications, such as demand response or advanced metering infrastructure. Schneider Electric's acquisition of Aveva Group for \$5.7 billion in 2022 exemplifies this trend.

Carbon Capture

- Trend Explanation: Carbon capture technology involves capturing carbon dioxide emissions from industrial processes and storing them underground or utilizing them. The carbon capture market

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is expected to grow from \$1.9 billion in 2020 to \$7.0 billion by 2027, at a CAGR of 20.5%.

Key Companies:

- Occidental Petroleum Corporation (OXY): Occidental is a leader in carbon capture and storage, developing technologies to capture CO₂ from industrial processes. The company benefits from the growing focus on carbon reduction and climate change mitigation.
- Chevron Corporation (CVX): Chevron integrates carbon capture technology into its operations, allowing for enhanced oil recovery while reducing emissions. The company's initiatives are key to its sustainability strategy.
- Competitive Landscape: The carbon capture space features established oil and gas companies and innovative startups. Companies like ExxonMobil (XOM) and Shell (RDSA) are also significant players, focusing on carbon capture and storage solutions.
- M&A Opportunities: Energy companies may pursue acquisitions of carbon capture startups to enhance sustainability capabilities. Occidental's acquisition of Carbon Engineering indicates a trend towards integrating carbon capture solutions into traditional energy operations.

Hydrogen

- Trend Explanation: Hydrogen technology involves producing hydrogen from renewable sources for use as a clean fuel in transportation and industrial applications. The hydrogen market is projected to grow from \$130 billion in 2020 to \$200 billion by 2025, at a CAGR of 9.2%.

Key Companies:

- Plug Power Inc. (PLUG): Plug Power is a leader in hydrogen fuel cell technology,

6. Recommended Readings

Deal Name: ExxonMobil's Acquisition of Pioneer Natural Resources

- Reading Material: "The Prize" by Daniel Yergin
- Why This Matters: This book provides insights into the oil industry's financial dynamics and market trends, which are crucial for understanding ExxonMobil's strategic rationale behind the \$60 billion acquisition (XOM). It explains how oil companies leverage reserves and production capabilities to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: NextEra Energy's Acquisition of Gulf Power

- Reading Material: "The New Economics of Energy" by David H. Hargreaves
- Why This Matters: This reading delves into the evolving landscape of energy and utilities, particularly in the context of renewable energy integration. It helps to understand NextEra's \$5.1

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billion acquisition (NEE) as a strategic move to bolster its renewable energy portfolio and compete with rivals like Duke Energy (DUK) and Dominion Energy (D).

Deal Name: Chevron's Acquisition of Noble Energy

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for energy companies to innovate and grow, which is relevant for understanding Chevron's \$5 billion acquisition (CVX) of Noble Energy. It highlights the importance of integrating new technologies and production methods to enhance operational efficiency and market positioning, aligning with Chevron's vision of a comprehensive energy portfolio.

7. MACROECONOMIC UPDATE

Key Data Points:

- Global obesity prevalence: 1 billion people
- U.S. obesity prevalence: over 100 million
- Semaglutide generics launched in India, Canada, and Brazil
- India GLP-1 market value projection: \$125 million (2025) to over \$1 billion (2030)
- Volume of semaglutide in India increased sixfold from February to April 2026
- U.S. market share for tirzepatide: approximately 60%

Main Insights:

- Introduction of lower-cost generics for semaglutide could reshape market dynamics.
- Significant volume expansion in India following the launch of generics.
- Canada and Brazil are key markets to watch for potential future trends in the U.S. and Europe.
- Supply chain concerns exist, particularly in the fill and finish segment for generics.
- Tirzepatide may maintain a competitive edge due to better efficacy and tolerability.

Market Commentary:

- "The introduction of generics in India has led to a surge in demand, capturing 80% of the semaglutide volume." - Thibault Bouterin
- "In the U.S., the upcoming Medicare coverage expansion will broaden access to GLP-1 medications for an additional 18 million people." - Terence Flynn

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Energy Sector Relevance:

- The pharmaceutical industry's shift towards generics may influence energy demand for manufacturing and distribution.
- Increased production of GLP-1 medications could lead to higher energy consumption in pharmaceutical manufacturing facilities.
- Supply chain bottlenecks in the pharmaceutical sector may impact energy logistics and costs.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley